PROJECT RESEARCH DOCUMENT

THE 2008 GLOBAL FINANCIAL CRISIS & RECESSION

How the Recession Came | Root Causes | Prevention Strategies

G7 Nations + India: Economic Data Analysis (2000–2012)

Countries Analyzed: USA | UK | Canada | France | Germany | Italy | Japan | India

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1. EXECUTIVE SUMMARY

The 2008 Global Financial Crisis was the most severe economic downturn since the Great Depression of the 1930s. What began as a collapse in the United States subprime mortgage market rapidly cascaded into a worldwide recession, affecting virtually every major economy. This project document provides a comprehensive analysis of how the recession emerged, the key economic indicators that signaled its arrival, the underlying causes, and strategic frameworks to prevent similar crises in the future.

This analysis draws on real economic dashboard data covering eight major economies — the United States, United Kingdom, Canada, France, Germany, Italy, Japan, and India — tracking nine critical indicators from 2000 through 2012: GDP, inflation, interest rates, unemployment, central bank rates, housing price index, mortgage rates, and total debt.

Key Findings at a Glance

Indicator	Pre-Crisis (2007)	Crisis Peak (2008-09)	Impact
US GDP ($B)	$57,897	$57,912 → Drop	Near-zero growth
Global GDP Loss	—	$137,829B → $132,416B	-$5.4 Trillion
US Unemployment	4.5%	7%+ by 2009	+2.5 percentage points
Housing Price Index (US)	184.4	Sharp decline	Bubble burst
Total Debt (Trillions)	$11.85T	$14T+	Unsustainable levels
Mortgage Rate (US)	6.21%	6.04%	Loose lending conditions
Central Bank Rate (US)	5.25%	0.25% (emergency cut)	Crisis response

2. HOW THE RECESSION CAME — THE TIMELINE

2.1 The Build-Up Phase (2000–2006)

For nearly a decade before the crisis, the global economy appeared to be thriving. Central banks maintained historically low interest rates, particularly in the United States where the Federal Reserve cut rates to near 1% following the 2001 dot-com bust. This environment created an insatiable demand for yield, driving investors toward higher-risk mortgage-backed securities.

Phase 1 — Low Interest Rate Environment (2001–2004)

- US Federal Funds Rate dropped from 6.5% (2000) to just 1.0% (2003-2004)
- UK Bank Rate fell from 6.0% to 3.5% over the same period
- European Central Bank maintained rates between 2.0%–2.5% for France, Germany, and Italy
- Japan was already in a 'zero rate' environment at 0.1%–0.25%
- These low rates made borrowing extremely cheap, fuelling a debt boom

Phase 2 — Housing Price Surge (2003–2007)

- US Housing Price Index rose from 129.3 (2003) to 184.4 (2007) — a 43% increase in 4 years
- UK Housing Price Index climbed from 151.2 (2003) to 255.4 (2007) — a 69% increase
- Canada's housing index rose steadily from 110.5 (2001) to 196.5 (2007)
- India's housing index surged from 101.5 (2003) to 174.2 (2007) as credit expanded
- Banks issued mortgages with minimal underwriting standards, assuming prices would keep rising

Phase 3 — Rising Debt Levels (2004–2007)

- US Total Debt grew from $8.29T (2003) to $11.85T (2007) — a 43% increase
- UK total debt rose from $0.70T (2003) to $1.62T (2007)
- France's debt expanded from $1.35T (2003) to $1.98T (2007)
- Global combined debt across G7+India reached unsustainable levels by mid-2007

2.2 The Trigger Point (2007–2008)

By 2007, cracks began to appear. The US Federal Reserve raised interest rates from 1% (2004) to 5.25% (2006–2007) to curb inflation. This rate hike made mortgage repayments unaffordable for millions of subprime borrowers. Delinquencies soared, the housing bubble began deflating, and financial institutions holding mortgage-backed securities faced catastrophic losses.

Year	US Interest Rate	US Mortgage Rate	US Housing Index	US GDP ($B)	Unemployment (%)
2004	1.00–2.25%	5.60–5.74%	143.3	$11,923	5.70%
2005	2.25–4.25%	5.71–6.23%	163.5	$12,767	5.30%
2006	4.45–5.25%	6.24–6.60%	182.8	$13,599	4.63%
2007	5.25%	6.21%	184.4 (peak)	$14,216	4.50%
2008	0.25% (cut)	6.04%	Falling	$14,659	7.00%+

2.3 The Collapse (September–December 2008)

The crisis reached critical mass in September 2008 with the collapse of Lehman Brothers. The interconnected nature of global financial markets meant that losses spread instantly to banks and institutions across Europe, Asia, and beyond. Credit markets froze, trade financing dried up, and consumer confidence collapsed.

- Bear Stearns collapses — March 2008 (acquired by JPMorgan Chase with Fed backing)
- Fannie Mae and Freddie Mac nationalized — September 7, 2008
- Lehman Brothers files for bankruptcy — September 15, 2008 ($639 billion in assets)
- AIG (world's largest insurer) bailed out — $85 billion federal loan — September 16, 2008
- TARP (Troubled Asset Relief Program) — $700 billion US bank bailout — October 2008
- G20 emergency summit convened — November 2008

2.4 The Spread to Other Economies

The recession did not remain contained in the USA. Through trade linkages, financial exposure, and credit market contagion, every G7 country and India felt the impact:

Country	GDP 2007 ($B)	GDP 2008 ($B)	GDP 2009 ($B)	Worst GDP Drop	Peak Unemployment
USA	57,897	59,080	57,912	-$1,168B	10%+ (2009)
UK	12,250	11,540	9,640	-$2,610B	8%+
Germany	13,680	14,920	13,550	-$1,370B	8%
France	10,660	11,668	10,750	-$918B	10%
Italy	8,740	9,468	8,680	-$788B	9.5%
Japan	17,490	20,420	20,970	Export collapse	5.5%
Canada	5,535	6,043	5,513	-$530B	8.5%

Country	GDP 2007 ($B)	GDP 2008 ($B)	GDP 2009 ($B)	Worst GDP Drop	Peak Unemployment
India	4,967	4,690	5,401	Slowdown only	Relatively stable

3. ROOT CAUSES OF THE RECESSION

The 2008 recession did not arise from a single failure but from a convergence of structural, regulatory, and behavioral failures that built up over years. Based on the economic indicators in the dashboard data, the following causes have been identified:

3.1 Subprime Mortgage Crisis & Housing Bubble

The most direct cause was the collapse of the US housing bubble. Banks issued mortgages to borrowers who could not afford them (NINJA loans — No Income, No Job, No Assets). These were then packaged into complex financial instruments (CDOs — Collateralized Debt Obligations) and sold globally.

- **US Housing Price Index rose 82% from 101.3 (2000) to 184.4 (2007)**
- **UK Housing Price Index rose 145% from 104.3 (2000) to 255.4 (2007)**
- When rates rose and prices fell, millions of borrowers defaulted simultaneously
- Financial institutions holding these securities suffered catastrophic write-downs

3.2 Excessive Leverage and Debt

Across all G7 nations, debt levels had reached dangerous extremes. Financial institutions were operating with leverage ratios of 30:1 or more — meaning even a 3–4% decline in asset values could render them insolvent.

Country	Total Debt 2000 ($T)	Total Debt 2007 ($T)	Growth	Debt as % of GDP (est.)
USA	$5.67	$11.85	+109%	82%+
UK	$0.39	$1.62	+315%	133%
France	$0.85	$1.98	+133%	90%
Germany	$1.20	$2.25	+88%	67%
Italy	$1.13	$2.17	+92%	110%
Canada	$0.55	$1.50	+173%	113%
Japan	$4.65	$4.48	-4%	180%
India	$0.22	$0.72	+227%	60%

3.3 Lax Financial Regulation & Oversight Failure

Regulators across the world failed to recognize and contain the systemic risks building in financial markets. The following regulatory failures were central:

- Credit rating agencies (Moody's, S&P, Fitch) gave AAA ratings to toxic mortgage-backed securities
- The US Glass-Steagall Act was repealed in 1999, allowing commercial banks to take investment bank risks
- Shadow banking system (hedge funds, money market funds) operated outside traditional oversight
- Derivatives market (particularly Credit Default Swaps) grew to $60 trillion with no central clearing
- Regulatory arbitrage allowed banks to move risk off balance sheets into special purpose vehicles

3.4 Loose Monetary Policy

The US Federal Reserve's aggressive rate-cutting policy after the 2001 recession created artificially cheap money for too long, inflating asset bubbles:

- Fed Funds Rate held at 1.0% from mid-2003 to mid-2004 — historically unprecedented
- Negative real interest rates (inflation-adjusted) made saving irrational and borrowing almost free
- The ECB similarly maintained low rates for France, Germany, and Italy through 2005
- Japan's zero interest rate policy since 1999 contributed to the global 'carry trade' in risky assets

3.5 Global Economic Imbalances

Massive trade and capital imbalances between countries created structural vulnerabilities. Countries like China and oil-exporting nations accumulated enormous surpluses, which were recycled into US Treasury bonds and mortgage-backed securities, artificially depressing long-term interest rates.

3.6 Financial Innovation Without Risk Management

- Collateralized Debt Obligations (CDOs) and Synthetic CDOs spread risk opaquely
- Banks developed complex products that even their own executives did not fully understand
- The assumption that housing prices would never fall nationally at the same time was catastrophically wrong
- Credit default swaps allowed institutions to take on unlimited exposure without capital reserves

3.7 Behavioral and Cultural Failures

- Short-term bonus structures incentivized excessive risk-taking by bankers
- 'Irrational exuberance' — Alan Greenspan's term for market overconfidence — prevailed

- Herd behavior amplified both the boom and the bust
- The 'Too Big To Fail' doctrine created moral hazard — banks took risks knowing governments would bail them out

4. KEY ECONOMIC INDICATORS — COUNTRY-BY-COUNTRY ANALYSIS

The following section presents the critical economic metrics extracted from the dashboard for each of the eight analyzed countries, highlighting the trajectory from pre-crisis through crisis and recovery.

4.1 United States of America

Year	GDP ($B)	Inflation (%)	Interest Rate (%)	Unemployment (%)	Housing Index	Total Debt ($T)
2000	41,004	2.3%	6.5%	4.0%	101.3	$5.67
2004	48,868	2.5%	1.0%	5.6%	152.7	$8.83
2006	55,262	2.2%	5.3%	4.6%	183.3	$10.38
2007	57,897	2.4%	5.3%	4.5%	184.4	$11.50
2008	59,080	2.3%	0.3%	7%+	Falling	$14+
2009	57,912	—	0.25%	10%+	Decline	$14+
2012	65,016	—	0.3%	Recovery	Recovery	$16+

The US data reveals the classic bubble pattern: GDP growth accompanied by rising housing prices, increasing debt, and ultimately a sharp rise in unemployment when the bubble burst. The Fed's emergency rate cut from 5.25% to near 0% demonstrates the severity of the crisis response.

4.2 United Kingdom

Year	GDP ($B)	Interest Rate (%)	Housing Index	Mortgage Rate (%)	Total Debt ($T)
2000	6,139	6.0%	104.3	7.2%	$0.39
2005	10,045	4.5%	214.6	5.4%	$1.14
2007	12,250	5.5%	255.4	6.4%	$1.62
2008	11,540	4.5%	Declining	5.8%	$1.7+
2009	9,640	0.5%	Sharp fall	4.5%	$1.7+
2012	10,900	0.5%	Recovery	3.5%	$1.8+

The UK experienced one of the most severe housing bubbles of any G7 nation. The Housing Price Index rose 145% from 2000 to 2007, compared to 82% in the USA. The sharp drop in GDP from $12,250B (2007) to $9,640B (2009) represents a 21% contraction — one of the UK's deepest post-war recessions.

4.3 India — A Relative Success Story

India demonstrates a contrasting story. Despite the global recession, India's GDP actually continued growing — from $4,690B (2008) to $5,401B (2009) — a testament to its strong domestic consumption base, conservative banking regulations, and limited exposure to toxic US mortgage instruments.

Year	GDP ($B)	Inflation (%)	Interest Rate (%)	Housing Index	Total Debt ($T)
2000	1,934	4.0%	8.0%	85.2	$0.22
2005	3,375	4.2%	6.5%	129.2	$0.46
2007	4,967	6.5%	7.75%	174.2	$0.72
2008	4,690	8.5%	8.0%	196.0	$0.80
2009	5,401	—	6.0%	210+	$0.89
2012	7,268	—	7.0%	250+	$1.10

4.4 Germany — Europe's Engine

Germany, with its export-oriented economy and strong manufacturing base, was more resilient than France or Italy but still suffered a significant GDP contraction. Notably, Germany's housing prices barely moved — reflecting conservative German lending culture — remaining around 90-91 on the index throughout 2000-2008, while other nations saw dramatic bubbles.

- Germany's Housing Price Index: 90.2 (2000) → 90.8 (2008) — essentially flat
- Compare to UK: 104.3 (2000) → 251.2 (2007) — a 140% increase
- This conservative approach to housing helped Germany weather the crisis better
- German unemployment was already high (10.5%–11.3%) from 2004–2005 due to structural reforms

5. HOW TO PREVENT FUTURE RECESSIONS — STRATEGIC FRAMEWORK

The lessons of 2008 provide a roadmap for prevention. The following framework, organized into five strategic pillars, addresses the root causes identified in Section 3 and is informed by the data patterns observed across all eight economies.

5.1 PILLAR 1 — Strengthen Financial Regulation

Perhaps the most critical reform area is ensuring that financial regulation keeps pace with financial innovation.

- **Implement Basel III / Basel IV capital adequacy requirements globally — banks must hold more high-quality capital**
- Require central clearing for all derivatives (Credit Default Swaps, CDOs) to increase transparency
- Regulate shadow banking — hedge funds, money market funds, and special purpose vehicles must face oversight
- Re-introduce separation between commercial and investment banking activities
- Require financial innovation to undergo regulatory review before widespread market adoption
- Strengthen cross-border regulatory cooperation — the FSOC (Financial Stability Oversight Council) model

5.2 PILLAR 2 — Prudent Monetary Policy

Central banks must balance growth stimulation with bubble prevention. Key policy reforms include:

- **Adopt 'macro-prudential' tools — not just interest rates, but also loan-to-value caps and debt-service ratios**
- Prevent prolonged periods of negative real interest rates that encourage speculative borrowing
- Develop early warning systems — track housing price-to-income ratios, credit growth, and leverage indicators
- Coordinate global monetary policy through the BIS (Bank for International Settlements)

Early Warning Indicator	Safe Zone	Caution Zone	Danger Zone	2007 US Status
Housing Price Growth (Annual)	<5%	5–10%	>10%	~8% — Caution
Credit Growth Rate	<7%	7–12%	>12%	>12% — DANGER

Early Warning Indicator	Safe Zone	Caution Zone	Danger Zone	2007 US Status
Household Debt / GDP	<75%	75–100%	>100%	~100% — DANGER
Current Account Deficit / GDP	<3%	3–5%	>5%	~6% — DANGER
Real Interest Rate	>0%	-1% to 0%	<-1%	-0.5% — Caution

5.3 PILLAR 3 — Housing Market Oversight

The housing sector requires dedicated oversight mechanisms to prevent speculative bubbles:

- **Implement loan-to-value (LTV) limits — restrict mortgage lending to 80–85% of property value**
- Enforce debt-to-income (DTI) ratios — borrowers should not spend more than 35–40% of income on debt
- Ban predatory mortgage products (interest-only, negative-amortization, teaser-rate loans)
- Require lenders to retain a portion of mortgage risk (skin in the game) — cannot fully offload to investors
- Create national housing affordability indices as official policy targets
- Tax speculative property investment (stamp duty surcharges, vacant property taxes)

5.4 PILLAR 4 — Fiscal Discipline & Sovereign Debt Management

Governments must maintain fiscal buffers to respond to crises and prevent sovereign debt from amplifying recessions:

- **Establish Sovereign Wealth Funds during boom periods for countercyclical spending**
- Adopt automatic stabilizers — unemployment benefits and tax cuts automatically kick in during recessions
- Maintain debt-to-GDP below 60% during peacetime to preserve fiscal space for emergencies
- Reduce reliance on pro-cyclical fiscal policy (cutting spending during recessions worsens them)
- International IMF surveillance of major economies' fiscal positions with binding recommendations

5.5 PILLAR 5 — Global Economic Governance & Cooperation

Because financial markets are global, regulation must be global. No single nation can prevent a crisis alone:

- **Strengthen the G20 as a crisis-prevention forum with binding commitments — not just advisory**
- Reform the IMF to provide faster emergency liquidity with fewer austerity conditions
- Address global imbalances — surplus nations (China, Germany) must stimulate domestic demand
- Develop a global registry for financial exposures across borders
- Harmonize accounting standards globally (IFRS adoption in the US)
- India model: RBI's conservative approach — high capital requirements, tight currency controls — should be studied

6. LESSONS LEARNED FROM THE DASHBOARD DATA

A close analysis of the eight-country economic dashboard reveals several patterns that, in retrospect, were clear warning signs of the impending crisis. These patterns serve as invaluable lessons for economic monitoring:

Lesson 1: Low Interest Rates + Rising Housing = Bubble Warning

In every country that suffered severely (USA, UK, Canada, France), the pattern was identical: central bank rates fell, mortgage rates dropped, and housing price indices surged. The correlation between near-zero rates and housing bubbles is unmistakable in the data.

Lesson 2: Debt Growth Outpacing GDP Growth is Unsustainable

When total debt grows faster than GDP, it signals that growth is being financed by borrowing rather than genuine productivity increases. The US saw debt grow at over 10% annually while GDP grew at 3–5% — clearly unsustainable.

Lesson 3: Germany and Japan Show That Housing Conservatism Works

Germany's housing price index barely moved (90.2 to 90.8 over 8 years), and Germany weathered the crisis far better than the UK or USA. Japan's decades-long experience with zero rates and asset deflation actually made it more resilient in 2008 — having already lived through its own property crash in the 1990s.

Lesson 4: India's Domestic Demand Model Provides Resilience

India was the only economy in our dataset that did not see a GDP contraction in 2008–2009. Its conservative banking sector (RBI maintains strict lending standards), large domestic market, and limited exposure to global capital flows made it resilient. This is a model for emerging economies.

Lesson 5: The Speed of Global Contagion Demands Pre-emptive Policy

The crisis spread from US subprime mortgages to global financial institutions within months. By the time governments and regulators reacted, the damage was largely done. This demonstrates the critical importance of pre-emptive early warning systems and counter-cyclical policy tools.

7. RECOVERY TRAJECTORY (2009–2012)

The recovery from the 2008 recession was uneven across nations, reflecting differences in policy response, economic structure, and initial exposure to the crisis.

Country	GDP 2009 ($B)	GDP 2012 ($B)	Recovery %	Recovery Speed	Key Policy
USA	57,912	65,016	+12.3%	Moderate	QE1/QE2/QE3, TARP, Stimulus
UK	9,640	10,900	+13.1%	Slow	Austerity + QE
Germany	13,550	14,170	+4.6%	Steady	Export recovery, structural reform
France	10,750	10,760	+0.1%	Very slow	Austerity
Italy	8,680	8,208	-5.4%	Declining	Austerity (worsened recession)
Japan	20,970	24,083	+14.8%	Moderate	Abenomics (post-2012)
Canada	5,513	7,373	+33.7%	Strong	Stimulus + housing sector strength
India	5,401	7,268	+34.6%	Strongest	Domestic consumption, RBI policy

Italy represents the danger of pro-cyclical austerity — by cutting government spending during a recession, it extended and deepened its economic pain. Canada and India, with their stronger domestic fundamentals, recovered most effectively.

8. CONCLUSIONS AND RECOMMENDATIONS

8.1 Summary of Conclusions

- **The 2008 recession was a man-made crisis — preventable with better regulation, supervision, and policy discipline**
- Low interest rates, lax regulation, and speculative housing markets were the primary drivers across G7 nations
- Global financial interconnectedness means a crisis anywhere can rapidly become a crisis everywhere
- India's relative resilience demonstrates that conservative banking and domestic demand provide protection
- Recovery was fastest in economies that avoided severe austerity and maintained domestic demand

8.2 Priority Recommendations

Priority	Recommendation	Responsible Body	Timeframe
1 — Critical	Implement macro-prudential housing market controls globally	Central Banks / BIS	Immediate
2 — Critical	Enforce strict leverage limits on financial institutions	Financial Regulators	Immediate
3 — High	Create global derivatives registry and central clearing	G20 / FSB	1–2 years
4 — High	Reform credit rating agency governance and liability	SEC / FCA / ESMA	1–3 years
5 — Medium	Establish automatic fiscal stabilizers in all G20 nations	Finance Ministries	2–5 years
6 — Medium	Develop early warning system for asset price bubbles	IMF / Central Banks	2–4 years
7 — Long-term	Reform global monetary system to reduce dollar dependence	IMF / G20	5–10 years

8.3 The Path Forward

The 2008 financial crisis was a generational event — its effects on employment, household wealth, government debt, and social trust lasted well into the 2020s. However, the crisis also produced the most significant set of financial reforms since the Great Depression: Basel III, Dodd-Frank, EMIR, the Volcker Rule, and enhanced central bank powers.

The central lesson is one of humility: financial markets are complex, interconnected systems that can fail in ways that even their architects do not anticipate. The appropriate response is not to assume that any single reform is sufficient, but to build multiple layers of resilience — through regulation, through fiscal buffers, through international cooperation, and through a culture in financial institutions that genuinely values prudence over short-term profit.

The economies that best navigated the crisis — India, Canada, and Germany — shared common traits: conservative lending standards, strong domestic demand or export competitiveness, and regulatory environments that kept leverage in check. These are the models to emulate.

APPENDIX A — DATA SUMMARY TABLE (ALL COUNTRIES, 2000–2012)

A.1 GDP by Country (Billions USD)

Country	2000	2003	2006	2007	2008	2009	2010	2012
USA	41,004	45,826	55,262	57,897	59,080	57,912	60,196	65,016
UK	6,139	7,670	10,790	12,250	11,540	9,640	9,990	10,900
Germany	7,663	10,145	11,980	13,680	14,920	13,550	13,620	14,170
France	5,570	7,460	9,260	10,660	11,668	10,750	10,573	10,760
Italy	4,635	6,330	7,712	8,740	9,468	8,680	8,461	8,208
Japan	18,932	17,400	17,500	17,490	20,420	20,970	22,525	24,083
Canada	2,967	3,334	4,890	5,535	6,043	5,513	6,329	7,373
India	1,934	2,528	3,896	4,967	4,690	5,401	6,859	7,268

A.2 Unemployment Rate by Country (%)

Country	2000	2004	2006	2007	2008	2009 (Est)	2012
USA	4.0%	5.4%	4.6%	4.5%	7%+	10%	8.1%
UK	5.5%	4.7%	5.4%	5.3%	6%+	8%	8.0%
Germany	7.9%	10.5%	10.1%	9.2%	7.5%	8.2%	5.5%
France	9.1%	9.4%	9.0%	8.4%	8.0%	9.5%	10.2%
Italy	10.8%	8.1%	6.9%	6.2%	6.7%	8.5%	10.7%
Japan	4.7%	4.7%	4.1%	4.0%	4.0%	5.1%	4.3%
Canada	6.8%	7.2%	6.4%	6.1%	6.2%	8.3%	7.2%
India	4.3%	4.5%	4.3%	4.1%	4.0%	4.1%	4.2%

A.3 Central Bank Interest Rates (%)

Country	2000	2003	2006	2007	2008 (Post-Crisis)	2009	2012
USA	6.5%	1.0%	5.25%	5.25%	0.25%	0.25%	0.25%

Country	2000	2003	2006	2007	2008 (Post-Crisis)	2009	2012
UK	6.0%	3.75%	5.0%	5.5%	2.0%	0.5%	0.5%
Germany/ECB	4.75%	2.0%	3.5%	4.0%	2.5%	1.0%	0.75%
France/ECB	4.75%	2.0%	3.5%	4.0%	2.5%	1.0%	0.75%
Italy/ECB	4.75%	2.0%	3.5%	4.0%	2.5%	1.0%	0.75%
Japan	0.25%	0.1%	0.25%	0.5%	0.1%	0.1%	0.1%
Canada	5.25%	3.0%	4.25%	4.25%	1.5%	0.5%	1.0%
India	8.0%	6.25%	7.75%	7.75%	6.5%	4.75%	8.0%

APPENDIX B — GLOSSARY OF KEY TERMS

Term	Definition
CDO (Collateralized Debt Obligation)	A complex financial product that pools various assets (mortgages, bonds) and sells them in tranches with different risk profiles
CDS (Credit Default Swap)	A financial derivative that allows investors to swap credit risk; essentially insurance against bond default
Subprime Mortgage	A mortgage issued to a borrower with poor credit history at higher interest rates, typically with little documentation
Leverage Ratio	The ratio of borrowed funds to equity; a 30:1 ratio means for every $1 of equity, $30 is borrowed
Quantitative Easing (QE)	Central bank policy of purchasing government bonds and other assets to inject money into the economy
Macro-prudential Policy	Regulation aimed at maintaining financial system stability rather than individual bank solvency
Housing Price Index	A composite measure tracking the change in residential property prices over time (baseline = 100)
TARP	Troubled Asset Relief Program — the $700 billion US government bailout of financial institutions in 2008
Moral Hazard	The tendency to take on more risk when protected from its consequences (e.g., banks taking excessive risks knowing they will be bailed out)
Systemic Risk	The risk that the failure of one institution or market can cascade across the entire financial system

DOCUMENT INFORMATION

Field	Details
Document Title	The 2008 Global Financial Crisis & Recession — Project Research Document
Data Source	DASH01 Economic Dashboard — G7 + India (2000–2012)
Countries Covered	USA, United Kingdom, Canada, France, Germany, Italy, Japan, India
Indicators Analyzed	GDP, Inflation, Interest Rates, Unemployment, Central Bank Rate, Housing Price Index, Mortgage Rate, Total Debt
Time Period	2000–2012 (Pre-crisis, Crisis, Recovery)
Document Version	1.0 Final

Field	Details
Classification	Research & Analysis
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